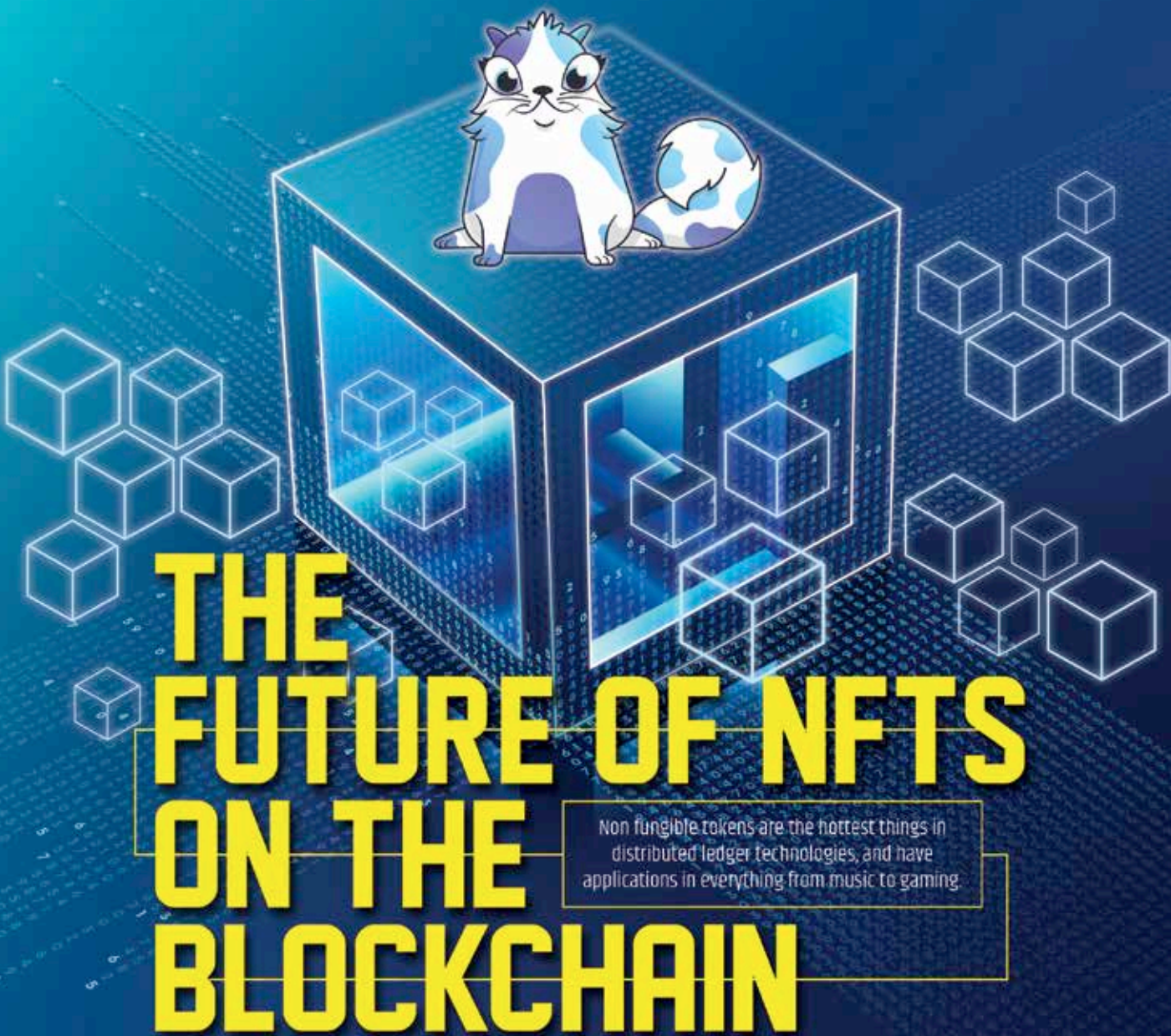




Aditya Madanapale | Aditya@digit.in

To understand non fungible tokens, let us take real world examples. A ten rupee note is a fungible token. If you lend the ten rupee note to someone, they can return a different ten rupee note. They can also return the money with two five rupee coins, or five two rupee coins. The whole exercise of lending would be pointless if you expected the same ten rupee note back. A movie ticket is an example of a non fungible token. Each movie ticket is unique, and

specific to the show. Even though two tickets in the same row may cost the same, the people in the middle of the row would be less willing to exchange their seats with someone in the sides. You cannot use the same ticket to go to some other movie, and you cannot break the movie tickets down into smaller units. In the digital realm, bitcoins are fungible tokens, they can be broken down into smaller units, and one particular bitcoin is as good as any other. However, there are an emerging class of blockchain based unique digital assets, which cannot be broken down or clubbed together into smaller or larger units. These are called the NFTs. Most of the current

blockchain based collectibles are based on a standard for the creation and distribution of NFTs called ERC-721. They use Ethereum, and are considered to be distributed applications, or DAaps.

Mr Hareesha Pattaje, Managing Director of Technology at Synechron explained NFTs, "Fungible tokens are useful for blockchain use cases like cryptocurrencies. On the other hand, non-fungible tokens, have some special features that make them special and cannot be exchanged or replaced with similar tokens. Non-fungible tokens are typically used for asset tokenization that provides users of DAaps with a capability to own assets in the digital